Wani, dressed as the Deputy Superintendent of Police, confidently walked into the bank, claiming that he was investigating an embezzlement charge. He demanded that the manager and cashier hand over all funds and record books, and then accompany him to his vehicle. Thoroughly confused, both the manager and cashier complied. Just before they reached Lal Bazaar, Wani ordered the manager and cashier to get out of the car. Both of them, having realised that they had been taken for a ride, attempted to argue with the fake policemen. It was a futile effort, for the Al-Fatah operatives had guns. After scaring their hostages away, the bank robbers drove to meet Zahgir at a spot on the outskirts of Srinagar. There, they changed into civilian clothes, tossed their uniforms into a sack which was tossed into the Jhelum River.

In Srinagar, the police were about to make some headway in their hunt for Al-Fatah. The bank cashier told investigators that one of the robbers resembled a student he had known while he was a student at Srinagar's Sri Pratap College in 1967. When police officials presented the cashier with photographs of students who had been at the college around that time, he quickly identified the man he knew as Farooq Ahmad Bhat. Bhat, it turned out, was well-known as he was the son of a prominent politician who had served in the Jammu and Kashmir Legislative Assembly. Bhat's involvement in the Hazratbal robbery intrigued investigators; he had been an outstanding student who was elected to head the students' union. He was pro-India in his public pronouncements and decidedly secular in his personal life. Police officials promptly raided Bhat's home, but he had fled by the time they got there. They then searched the room he had occupied at the medical college hostel, even though he had vacated the room sometime earlier. The police were in luck. Among his books, they found a small diary with seven names scribbled on one page. One of these was of Bhat's cousin, Abdul Ghaffar. To the delight of police officials, Ghaffar was at home. During his interrogation, the scale and import of the Hazratbal robbery began to unveil itself for the first time. Abdul Ghaffar told the police that he had been recruited to Al-Fatah by a Kupwara resident named Ghulam Nabi Mir. Shortly afterwards, he said, Bhat had told him during a casual